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Source: *The Journal of Politics*, Feb., 1942, Vol. 4, No. 1 (Feb., 1942), pp. 20-46

Published by: The University of Chicago Press on behalf of the Southern Political Science Association

Stable URL: <https://www.jstor.org/stable/2125547>

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WANTED: AN INTEGRATED SYSTEM OF LABOR LAW

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I

WHAT IS A LABOR ORGANIZATION?

Perhaps this article should have been entitled "Wanted: An Integrated System of the Law of Labor Organization", for it is with the law of labor organization, rather than with the law of labor as such that we intend to deal here. The time is ripe—indeed overripe—for an attempt to treat the law of labor organization as a *system* of legal relations, rather than as a collection of bundles or groups of rules with no inner relation or unity. That we have no such integrated system of the law of labor organization is made evident by the fact that, search as we may, we shall be unable to find either a generally accepted or a tolerably satisfactory answer to the question: What *is* a labor organization?

Nor is this the only question which baffles the student of our subject. If we turn from the question just put, which of necessity stands at the very outset of the consideration of our subject, to a question which concerns the most important relation of labor organization, namely, *What is a collective bargaining agreement?* we shall be confronted with the same difficulty. And what is even more disturbing, neither of these questions has ever been seriously put or adequately considered. And the same applies to all of the problems which lie in between, or all around, the two questions just put. The law of labor organization has been growing at a tremendous pace, and the law reports as well as the law reviews are full of it. But the text writers, like the opinion writers, usually deal with certain specific problems, to the utter neglect of the body of law as a whole. As a result there is no branch of the law which could properly be called the law of labor organization. One will search in vain for such a rubric in legal encyclopedias, from the *American and English Encyclopedia of Law*, first

published in 1890, to the *Restatement* now in the process of publication.

A look at these works may prove highly instructive. The first edition of the *American and English Encyclopedia of Law*, published between 1890 and 1896, contained no article on either labor unions, trade unions, labor contracts, trade agreements, or any item dealing with labor organization as a legal topic. *Labor organizations were utterly unknown to the law—the law did not take any cognizance of them.* The second edition of the same work contained, in volume 28 which was published in 1904, a one page article on "Trade Unions" which consisted of a reproduction of the *Century Dictionary* definition of that term as its entire text, and a couple of footnotes. These footnotes are interesting in connection with the two questions propounded above. In these footnotes we are told, first, that "a union, though not incorporated, may sue and be sued and is responsible for its acts like a corporation;" three cases are cited, two English and one American, all decided after 1900. We are then told, that a union has no right to contract for its members and therefore cannot bind them. On this point the learned writer cites a case then just decided by the Missouri Supreme Court, and the principal note is devoted to a longish quotation from the opinion in that case.¹

¹ The quotation is worth reproducing: "The Miners' Union is not an organization for the purpose of conducting any business enterprise, but is purely one for the protection of labor against the unjust exactions of capital. The members of the union do not labor in coal mines for the organization, but each member works for himself, and whatever compensation he receives is for the benefit of himself and his family. That the Miners' Union, as an organization, cannot make a contract for its individual members in respect to the performance of work and the payment for it, in our opinion is too clear for discussion. *Richmond v. Judy*, 6 Mo. App. 465. 'While it may be true that a labor organization may have rules requiring the employer to designate certain pay days, and, if you employ a member of the organization, or even one who is not a member, and by agreement his services are to be paid on the designated pay days, as established by the rules, it could well be insisted that the contract fixed the time of payment, that is upon the theory that the individual so contracts, and by no means upon account of his being a member of the organiza-

But there was another, and much longer article on labor organization in that edition of the encyclopedia in question, and both the title and the treatment are highly instructive. That article occupied some ten or eleven pages and was entitled "Labor Combinations". It dealt with labor combinations as *illegal conspiracies*. The writer commenced with the statement that it was doubtful whether labor combinations as such were illegal conspiracies at common law, and then proceeded to discuss what makes them such under the "modern" common law as then enforced by the courts in England and in this country.

Needless to say that the substantive law as given in the *Restatement* is quite different from that given in the article in the second edition of the *American and English Encyclopedia of Law*. But the *Restatement*, like our earliest encyclopedia, and like every other encyclopedia of our law that has appeared in between, does not know of the law of labor organization as a separate branch of the law. The particular subject treated in the article of the *American and English Encyclopedia of Law* just referred to forms a chapter of the Law of Torts in the *Restatement*, and is assimilated to that branch of the Law of Torts which deals with Injuries to Business. Other aspects of the law of labor organization if treated at all, will have to be looked for, as in other encyclopedic works, under various topics, such as "Contracts," "Injunction," "Unincorporated Associations," etc.

tion which has undertaken to contract for him. A contract on the part of an individual that he will perform certain work under the rules of an organization is not to be inferred from the simple fact that he is a member of the organization. Persons work for themselves, and are free and independent. Agreements imposing conditions can only be enforced when the entire proposition has been stated, and by them freely accepted.' In that case it was held that the union could not bind a member as to the day of payment or as to the manner of performance of labor which he contracted to perform." (*Italics supplied.*)

II

THE LAW OF LABOR ORGANIZATION
"JUST GROWED"

The reason for this condition of the law of our subject, is that, like Topsy, it "just grewed." With these differences, however: To begin with, it "grewed" like many Topsys instead of one. And the different Topsys grew independently of each other, and frequently in different directions. But even more important is the fact that all of the Topsys "grewed" without any roots to grow from. Labor organizations were utterly unknown to the common law. Indeed, not only labor organizations, but *Labor* as such was unknown to the common law. Hence the doubt referred to in the opening paragraph of the article of Labor Combinations in the second edition of the *American and English Encyclopedia of Law*, as to the condition of the common law with respect to the legality or illegality of labor organizations as such.

The reason for the absence of any common law roots in this branch of our law, is to be found in the fact that during the period of English history in which the common law took shape all matters relating to labor were outside the domain of the common law. During the earlier portion of that period labor was either attached to the soil or organized into guilds in cities, towns, and boroughs. The former bore no relations whatever to the public; and the public relations of the latter were regulated by the guilds, which were a law unto themselves and stood entirely outside of the common law. But the guilds were not organizations of laborers in the modern sense of the word, but of artisans—independent enterprisers, producers, or businessmen, to use modern terms, none of which exactly fits because the artisan partook of the character of all. The guild survived long after the common law finally took shape; and the later periods of the development of the common law are characterized by its struggle against the law of the guilds. That struggle, undertaken by Coke with great vigor and continued with undiminished vigor by his successors, lasted for nearly

two centuries, and terminated with a complete victory of the common law at a time when it became almost synonymous with *laissez faire*. But this development of our law belongs to the Law of Business rather than to the Law of Labor.

When labor appeared on the historical scene as detached from the soil and not integrated into guilds, it was immediately taken hold of by legislation. The basic problem involved was that of remuneration. Where labor was integrated into guild organizations, it was the guild that set the price,—either in the form of the price of the article produced by the labor, or in the compensation for the service performed when it was performed on the employer's (customer's) materials.

As long as labor was divided into two water-tight compartments—labor on the soil as part of the soil, and labor in the town—the Law of the Manor and the Law of the Guild were sufficient to take care of the situation. The problem of labor in the abstract only arose with the breakdown of the barriers and the beginning of the migration of labor from place to place—principally from rural to urban districts. And legislation was not far behind: The First Statute of Laborers with which we are familiar dates from 1350. From then on the subject of wages has been regulated by statutes enacted from time to time to meet changing conditions. The only other subject in which the public was interested was the sufficiency of a supply of *qualified* laborers or artisans. That, too, was taken care of by the Law of the Guilds. And when that began to fall into decay, the Legislature again stepped in with the Statute of Apprentices which was part of a fairly comprehensive system of labor law enacted under Elizabeth.

The common law therefore had no chance to get hold of the subject of labor. But this did not prevent certain judges of the common law courts from attempting to get hold of it. Mindful of the injunction that it is the province of a good judge to extend his jurisdiction, certain English judges, during what may be called the "middle period" of English labor law history, attempted to bring the subject

within the purview of the common law by a procedural device which need not concern us here. Suffice it to say, that the attempt was wholly unsuccessful, and only resulted in the creation of a condition of doubt in certain legal circles—which is the condition referred to in the article on labor combinations in the *American and English Encyclopedia of Law* already referred to. The doubt was soon removed by scholarly historical investigations; and the subject continued to be controlled by statutory provisions, the old statutes having been replaced by new ones shortly after the attempts at what might be called “common lawing” the subject.²

The development just referred to was limited entirely to the problem of labor organization. It had nothing to do with another phase of labor on which there was neither common law nor legislation, the problem of industrial accidents. Industrial accidents are the result of the industrial revolution which took place long after the close of the common law. And industrial legislation lagged far behind. Here was a chance for the judges who were seeking to extend their jurisdiction—that is to say, the jurisdiction of the legal system of which they were the priests—to do so by extending or expanding the common law to cover the new situation. But since there was nothing in the common law which could be “extended” or “expanded,” they resorted to invention or judicial legislation. This took the form, both in England and in this country, of the twin-doctrines of *irresponsibility* of employers known as the Fellow Servant doctrine and the doctrine of Assumption of Risk. It is this branch of the law which largely constituted the law of labor during the second half of the nineteenth century. It was taught in the law schools and treated in the textbooks and encyclopedias under the heading of “Master and Servant,” a title in itself of no little significance. And it is the development of this branch of the law which, in this country, gave rise to an unfortunate condition which

² See Sir James Fitzjames Stephen, *History of the Criminal Law of England* (London, 1883), Vol. 3, p. 223.

makes a proper development of the law of our particular subject difficult if not impossible: a condition of *Fear* within the labor movement of the courts, which developed into a distrust of all governmental regulation of labor in its various aspects. The fear, at least, was justified. For the history of labor law in this country during the last quarter of the nineteenth century and the first quarter of the twentieth is largely a struggle between organized labor and the legislatures on the one hand, and the courts on the other—the legislatures, at the demand of organized labor and its sympathizers, enacting legislation for the amelioration of the conditions of work and compensation for injuries received at work, and the courts endeavoring to emasculate or nullify those laws and often succeeding in the endeavor. It is unnecessary to go here into the history of this unpleasant subject, for it is too well known to require elaboration, and we are not concerned with that history itself but rather with its results, not on a particular branch of labor law, but with its results on what might be called the atmospheric and psychological conditions under which those who are endeavoring to develop an integrated system of the law of labor organization must work.

III

A LAW OF NEGATIONS

Atmospheric conditions in this domain of the law were decidedly disturbed, and threaten to continue to be so. The development of the law of labor presents itself in the form of a series of storms, agitations to overrule something or repeal something. Some of the court decisions during the first decade of this century even led to an agitation for the repeal of the Fourteenth Amendment, that being the *pièce de résistance* in the arsenal of the courts in their fight against the advancing tide of labor legislation. Sometimes this fight took the form of a demand by labor for the repeal of legislation enacted upon the demand of labor itself after years of agitation for its enactment. This happened in

the case of the Clayton Act.³ Such an atmosphere was not conducive to a healthy, organic development of the law. The law as represented by legislative enactment, therefore, also "grewed" like so many Topsy's, each subject taking its own course, frequently a very tortuous one. But worse still, much of our law assumed the form of prohibitions. In a way this negative attitude was introduced by the courts themselves. As we have seen, the early decisions of the courts, as summarized in the first article dealing with labor in our first encyclopedia of law, consisted of a series of admonitions by the courts to the growing labor organizations not to do this or that on pain of punishment by injunction or damages. At a later stage, when the labor organizations grew in power, they countered by getting the legislatures to enact admonitions to the courts not to do this or that to labor unions engaged in labor disputes. The Clayton Act is a fair sample of modern labor legislation. Of its two labor sections, one provided that: "Nothing . . . shall be construed to forbid . . . or to forbid or restrain . . . nor shall . . . be held or construed" And the other provided that: "No restraining order or injunction shall be granted by any court . . . and no such restraining order or injunction shall prohibit"

The two sections of the Clayton Act, and the debates which preceded their adoption by the two Houses of Congress are extremely instructive. The second section quoted from, (Section 20), was the result of many years of agitation against what was called "Government by Injunction." That agitation commenced in the early eighteen-nineties and figured prominently in the Presidential campaign of 1896. And it continued with increasing vehemence on the part of labor and its sympathizers until the adoption of the Clayton Act in 1914. The other section (Section 6) was the result of the application by the courts of the Sherman Anti-Trust Act to labor. The agitation against that application, which

³ At a Convention of the American Federation of Labor, Mr. Matthew Woll, Vice-President of the Federation, offered a resolution demanding the repeal of the Clayton Act.

was considered a perversion of the original intentions of Congress in enacting the Sherman Act, also commenced in the early eighteen-nineties and continued until the adoption of the Clayton Act. The two agitations frequently merged into one as did the cases themselves.⁴

In the issuance of injunctions the courts sometimes relied on the provisions of the Sherman Act, even though action under the Act was limited to the Government, and individuals could not bring suit thereunder. But more frequently, they relied on the so-called common law, in reality the doctrines evolved by the courts during the "middle period" in England and the latter part of the nineteenth century in this country. Both of these developments were opposed by large sections of the public in addition to organized labor and thereby increased the general distrust of the courts on the part of labor and those who sympathized with it as a result of the decisions declaring labor laws unconstitutional. This introduced a new complication as part of the general fear of the courts: a fear, on the one hand, that the use in legislation of ordinary terms would give room to judicial emasculation by "construction;"⁵ and, on the other, that the use of what might be called broad imperative language would give the courts a handle to declare the legislation unconstitutional as offending "basic" constitutional rights, either of employers or of the courts. We need not go into that here, except to emphasize the mounting complex of fears which this engendered in labor of the domain of the law here under consideration.⁶

⁴ There had been one case in which the anti-trust laws were applied to labor prior to the famous Pullman strike (*United States v. Workmen's Amalgamated Council*, 54 Fed. Rep. 994, decided in 1893). The agitation against those laws dates from their application in the famous Pullman strike, which may also be considered the starting point of the agitation against "government by injunction."

⁵ That this fear and distrust of the courts was general, and of decisive influence in the legislative halls is amply demonstrated by the debates in Congress on the Clayton Act, which may be said to have been conducted to the general refrain, "Beware of the Courts!"

⁶ This point is treated more fully in a study on the Clayton Act soon to be published by the present writer. The leaders of the Sixty-Third Congress thought they had found a solution in the formulation

As is well known, the legislative admonitions frequently had no effect upon the courts. As a result there was more agitation, which culminated in further and more emphatic prohibitions. The agitation over the nullification by the courts of Section 20 of the Clayton Act resulted in the enactment of the Norris-LaGuardia Act which differed from the Clayton Act in two respects: It contained a more detailed and much longer list of prohibitions; and the form was changed from "no court shall" do this or that to "no court shall have jurisdiction" to do this or that. The new formula—the *deprivation of the courts of jurisdiction* to do the things which they had previously been told not to do—coupled with the aroused public opinion over the nullification of the Clayton Act proved efficacious for once and accomplished the particular result desired.⁷ But it did not change the unhealthy condition of affairs. Indeed, it made it much worse: *It emphasized the negative character of the law of labor organization.*⁸

of the two sections of the Clayton Act actually adopted—a solution which was proof against "unconstitutionality" and emasculation. Events proved they were right in the first but not in the second. The Clayton Act was in fact emasculated by the Supreme Court, and this necessitated the adoption of more stringent language in the Norris-LaGuardia Act, adopted eighteen years later, after another period of agitation. When the Norris-LaGuardia Act was enacted, it was attacked on the ground that its provisions were unconstitutional because they invaded the *prerogatives* of the courts. But by that time the "climate of opinion" in the courts as well as in the country had changed somewhat and the legislation was sustained as constitutional. Similar legislation in the states, following the enactment of the Norris-LaGuardia Act by Congress, resulted from similar agitation with similar results.

⁷ This is strictly true only with respect to the Norris-LaGuardia Act itself. It is not quite true with respect to the various state statutes which followed the Norris-LaGuardia Act, embodying its principles and in most cases its language. Although these statutes have been held constitutional by the state courts, following the decision of the Supreme Court on the validity of the Norris-LaGuardia Act, all the state courts have not followed the United States Supreme Court in the construction of the language involved, as witness some of the latest decisions of the New York Court of Appeals.

⁸ This is well illustrated by the cases construing the Norris-LaGuardia Act and the state acts constructed on its model. There is no doubt but that the framers of the Norris-LaGuardia Act and

The enactment of the Norris-LaGuardia Act may be considered in some ways as marking a watershed in labor legislation, the conclusion of the epoch of sheer negation. What followed was an attempt to approach the subject from a positive point of view. The first, groping step in that direction was the famous Section 7(a) of the National Industrial Recovery Act which declared at least in principle that workers and their organizations have certain rights. After the National Industrial Recovery Act was declared unconstitutional, the movement for a positive approach to the law of labor organization culminated in the enactment of the National Labor Relations Act.

It is interesting to observe here that more than twenty years earlier, during the debate on the Clayton Act, Senator Cummins, a leading statesman and noted lawyer of the time, advocated a positive approach to the problem and insisted that instead of prohibiting the courts from doing this or that, Congress should enact a positive code of laws governing the activities of labor organizations, or at least lay down a set of basic principles which could serve as the basis of such a code. As we have seen, his point of view did not prevail then. Nor did it entirely prevail even at the time of the enactment of the National Labor Relations Act. For while Section 7 of the Act enacts in a positive

the framers of the state statutes modelled upon it were intent upon preventing the courts from interfering by injunction on behalf of employers seeking to prevent strikes or boycotts by labor unions. But feeling that the simple language which would embody that principle would be insufficient to remedy the evil at which the legislation was aimed, they resorted to the use of the most comprehensive language they could think of in order to make sure that the courts would not interfere in labor disputes at the behest of employers. As a result, the language of these statutes is such that it embraces many things which could well have been left out, and were certainly not intended to be covered, such as jurisdictional disputes between labor unions themselves. Those who are anxious to preserve the original purpose of the Acts are frequently compelled to argue for the extension of the Acts to situations which were not originally intended to be covered thereby, for fear that if the language of the statute be in any way departed from that would give an opening to unfriendly courts to fall back into the practices which the statutes were intended to put an end to.

form the principles of the famous Section 7(a) of the National Industrial Recovery Act, that Section is left entirely uninterpreted, and what follows is nothing but a new series of prohibitions—addressed to employers this time—and the establishment of an agency for their enforcement. And in order to insure the protection by the agency thus created of the rights of labor organizations thus declared, the prohibitions addressed to employers are supplemented by a prohibition addressed to the courts, admonishing them not to interfere with the National Labor Relations Board in the performance of the task entrusted to it by Congress.⁹

That the latter was necessary has since been proven by the history of the litigation under the Act and even more so by the contrary course of the history of the litigation under the New York State Labor Relations Act.¹⁰ But the net result of the Act has been substantially to destroy the broad principle and the positive approach to the problem contained in Section 7. Two things are of particular inter-

⁹ Section 10 (a), after providing that the National Labor Relations Board shall have power to prevent unfair labor practices, takes care to provide that "This power shall be exclusive," and then proceeds to provide in Section 12 that "Nothing in this Act shall be construed so as to interfere with or impair or diminish in any way the right to strike." That these prohibitions directed to the courts were necessary is evidenced by a number of cases in which the courts actually attempted to use the rights conferred upon workers by the National Labor Relations Act to curtail their right to strike. A notable example is that of *Fur Workers Union v. Fur Workers Union*, 105 F. (2d) 1 (1939); 308 U. S. 522 (1939).

¹⁰ The attempt at interference with the National Labor Relations Act by court injunctions has been effectively stopped by the decision of the United States Supreme Court in the case of *Myers v. Bethlehem Ship Building Corp.*, 303 U. S. 41, (1938), which reversed a decision of the United States Circuit Court of Appeals for the First Circuit affirming a decision of the Massachusetts District Court for Massachusetts granting an injunction restraining the National Labor Relations Board from hearing an unfair labor practice complaint, on the plea that the corporation was not subject to the provisions of the National Labor Relations Act. What would happen had the Supreme Court affirmed the decision of the United States Circuit Court of Appeals can best be seen by a study of certain cases, notably those in which the Metropolitan Life Insurance Company and the Bank of Yorktown are involved under the decisions of the New York Court of Appeals which took the same position as that of the United States Circuit Court of Appeals for the First District.

est in this connection: First, that the negative approach of Section 8 which defines an "unfair labor practice" was not an accidental one, but was made necessary by the negative attitude of organized labor towards legal regulation of labor relations in a positive manner. And, second, that while that alone did not destroy the broad principle or declaration of rights laid down in Section 7, that negative attitude plus the necessity of protecting the agency from court *interference*, lead directly, even though not necessarily, to the emasculation of Section 7. These two matters therefore deserve further attention on our part, since the emasculation of Section 7 of the National Labor Relations Act cannot properly be laid at the doors of reactionary judges—even though it is clear upon careful examination of the cases that the liberal judges were actuated in the attitude by the *fear* that a contrary position might open the door to their reactionary brethren to an emasculation of the few concrete provisions contained in the Act. This is not the place, nor is this the occasion, for a detailed criticism of the decisions involved; but a brief review of these cases is necessary in order to illustrate the nature and effect of the fears involved.

This requires that we go back somewhat, in order to look again at the cases in which labor legislation has been declared unconstitutional by our courts. In all of these, commencing with the decisions in the state courts during the second half of the nineteenth century, of which *In re Jacobs*¹¹ decided in 1885 is a fair sample, and culminating with the *Adkins* case¹² decided by the United States Supreme Court in 1923, the courts, in declaring labor laws unconstitutional, pretended to be acting in protection of the rights of the workers themselves. In declaring the New York Anti-Sweat Shop Law unconstitutional in the *Jacobs* case, the New York Court of Appeals was not protecting the right of the employer to sweat his workers, but the right of the workers to be sweated. And in declaring

¹¹ 98 N. Y. 98.

¹² 261 U. S. 525.

the District of Columbia Minimum Wage Law unconstitutional, the United States Supreme Court was not protecting the right of employers to pay low wages, but the right of workers to work at low wages. Under the circumstances it is only natural that labor should be wary of legislative declarations of right which might be pounced upon by the courts as additional reasons for interfering with the freedom of action of labor organizations. It will be recalled that at the time of the enactment of the National Labor Relations Act there was quite an outcry on the part of employers against the alleged iniquity of the Act in limiting "unfair labor practices" to employers only and leaving "unfair practices" on the part of labor unprohibited. It was important that no handle be given to the perversion of this latest "Magna Charta of Labor" into an instrument of its oppression, by permitting the courts to issue injunctions to prevent alleged "unfair practices" on the part of labor. Congress therefore acted wisely in the circumstances in defining the "unfair labor practice" which the National Labor Relations Board was charged with the duty of preventing in a manner which would limit the prohibitions to practices of employers. This limitation did not, however, in any way derogate from the general principle of the right to collective bargaining contained in Section 7. That Section stands as a separate enactment and under well known principles of statutory interpretation should have been treated as such and enforced by the courts in a proper case as an independent enactment and in accordance with the full import of its language. That language is comprehensive. It is as follows:

Employees shall have the right to self-organization, to form, join or assist labor organizations, to bargain collectively through representatives of their own choosing, and to engage in concerted activities, for the purpose of collective bargaining or other mutual aid or protection.

That there was room for its operation outside of the enforcement of the prohibitions against unfair labor practices soon became apparent. And it also became apparent

that in such cases recourse could be had only to the courts, since the "unfair labor practices" the prevention of which was entrusted to the Labor Relations Board covered only action by an employer against his own employees. But the right of collective bargaining through "representatives of their own choosing" can be invaded and effectually destroyed by many people who are not the immediate employers of the workers involved and therefore not amenable to the jurisdiction of the Labor Relations Board. Such a case arose in the electrical industry in which the CIO United Electrical Radio and Machine Workers' Union controls the electrical *manufacturing* industry and the AF of L International Brotherhood of Electrical Workers controls the electrical appliances *installation* industry. As part of the feud between the AF of L and the CIO, the IBEW invaded the electrical *manufacturing* field, and being unable to induce the workers to join its ranks, attempted to drive the CIO union which controlled a majority of the workers from the field by inducing the electrical installation contractors to boycott the electrical appliances manufactured in shops controlled by the CIO union. Resort to the National Labor Relations Board was of no avail; the National Labor Relations Board could not hail the electrical contractors before it and enjoin them from conducting the boycott, for they did not stand in the relation of employer and employee to the aggrieved workers, and were therefore not guilty of any unfair labor practices. In such cases the only action the Board can take must be directed at an employer who refuses to deal with a union even though it represents a majority of his workers. The Board therefore could not give the employer protection against the boycott being conducted against him by the IBEW and the electrical contractors. A decision against him would therefore be of little avail, since it might result in his having to close shop and throw the workers out of employment. In most cases such a threat would result in the workers being compelled to transfer their allegiance from the CIO union to the AF of L union. That actually

happened in one instance.¹³ The workers thus threatened in their right to collective bargaining through "representatives of their own choosing," acting through the union which they had chosen and the choice certified to by the National Labor Relations Board, therefore applied to the courts for protection against the continuance of the boycott. But the courts said that notwithstanding the broad language of Section 7 and the clear violation of its provisions they were powerless to give a remedy, because protection against the "unfair labor practices" defined in Section 8 was placed within the exclusive jurisdiction of the Labor Relations Board.¹⁴

We need not enter here upon a discussion of the question whether that decision was absolutely necessary under the language of the Act. The important point to note here is

¹³ In the spring of 1937 the United Electrical Radio and Machine Workers of America began an organization campaign at the plant of the National Electric Products Corporation at Ambridge, Pennsylvania, which had theretofore been unorganized. By the middle of June, 1937, the United Electrical succeeded in enrolling over 1100 of the National Electric Products Corporation's workers, constituting a majority of the employees in its plant. At this point, the International Brotherhood of Electrical Workers appeared on the scene and threatened to boycott the products of the Ambridge plant unless the employer signed a closed shop agreement with it. This the employer accordingly did. The United Electrical Workers thereupon applied to the National Labor Relations Board for an election which was ordered. In the election campaign which followed one of the most effective pieces of campaign literature used against the United Electrical Workers was a booklet published by the company in defense of its action in entering into the agreement with IBEW, in which it reprinted an editorial from the New York *World-Telegram* which read in part as follows: "The Company last May signed a closed shop contract with an AF of L union, after union electricians had threatened a wide-spread boycott against its products unless it did so." The argument was, in effect, that if the United Electrical Workers won the election the company would be compelled to close its plant because of the boycott against its products. As a result, a sufficient number of those who had enrolled as members of the UERMWA voted for the IBEW to give it the election. As a result of this election the previous wrongful act of the company became perfectly legal, and the National Labor Relations Board was through with the matter.

¹⁴ *United Electrical, Radio and Machine Workers of America v. International Brotherhood of Electrical Workers, et al.*, 30 Fed. Sup. 927; 115 Fed. (2d) 488 (1940).

that the fear on the part of labor of the courts, joined in this instance by the fear of liberal judges of the possible action of reactionary judges, resulted in a serious mutilation of a very important piece of legislation, the most important positive piece of labor legislation ever enacted in this country.

IV

A DIFFERENT CLIMATE OF OPINION

The situation thus presented is certainly far from a healthful one. But it indicates a decided change from the epoch which closed with the enactment of the Norris-LaGuardia Act. It indicates an attempt—even though a timid and halting one—on the part of the Legislature to approach the problem from a positive point of view. But it also indicates a different “climate of opinion” within the legal profession, particularly within that portion of the legal profession which constitutes the Bench. That circumstance is of decisive importance in connection with any attempted solution of our problem. In this connection it is well to note that during the long unfortunate period which closed with the enactment of the Norris-LaGuardia Act the courts were not acting solely, or perhaps even mainly, from class bias, but rather from the innate conservatism of the legal profession.

More than a century ago DeTocqueville called attention to the innate conservatism of the legal profession in Anglo-Saxon countries. It is only natural that the leaders of that profession, from among whom the Bench is recruited, should represent the spirit of that profession in a high degree; and even more natural that this conservatism should increase during their service on the Bench. And whether natural or not, it is undoubtedly a fact. Nearly a century after DeTocqueville commented on the conservatism of the legal profession in America in his *Democracy in America*, Mr. Charles Warren, in his *The Supreme Court in American History*, called attention to the fact that many judges of the United States Supreme Court who had ascended the

Bench as radicals ended up by becoming conservatives. And one of the forms in which the conservatism of the profession showed itself in the past was its antagonism towards legislation, particularly when it encroached on what is regarded as a basic principle of the common law. This took the form of the well known legal rule that statutes which were "in derogation of common right" were to be narrowly construed. It is true that there was also a rule that so-called "remedial statutes" should be construed broadly. But these two rules could hardly stand together, since the history of legislation both in England and in this country proves that all legislation was both remedial and in derogation of what "common lawyers" would call "common right". The coexistence of the two rules therefore meant that judges, as was their wont, had a brace of rules which enabled them to choose almost at will between alternative courses in any given situation. The history of the long struggle between the courts and the legislatures shows that, generally speaking, judges made more frequent use of the rule which required narrow construction of statutes than of the opposite rule. This was certainly true in the long struggle in this country between the courts and the legislatures over labor legislation. From time immemorial the courts have regarded themselves the depositories and guardians of what they call "common right" and therefore have looked with suspicion upon legislation generally. And as the struggle between the courts and the legislatures over labor legislation in this country developed, the legislation tended to assume the form of prohibitions directed to the courts, and the courts naturally came to look upon every piece of new legislation in this field as a direct affront to them and as an attempt to invade their legitimate province. The distrust of the courts among the laity therefore bred a spirit of hostility towards legislation in the legal profession.

The new "climate of opinion" which manifested itself on our Supreme Bench in the treatment of Congressional legislation in this field since the enactment of the Norris-LaGuardia Act is therefore of tremendous significance.

And it is to be hoped that this is not a mere passing phase imposed upon the courts from the outside by public opinion. The indications are definitely in the other direction. The treatment accorded by the Supreme Court to the Norris-LaGuardia Act may have been the result of the pressure of outside public opinion. But the treatment accorded to the National Labor Relations Act, particularly in the extension which it received in the *Consolidated Edison* case¹⁵ and its mutilation in the *Amalgamated Utility* case,¹⁶ could not possibly have been due to outside pressure. These appear to have been voluntary acts of the courts, the latter decision a voluntary act of self-abnegation.

Unfortunately, this changed "climate of opinion" on the Bench does not seem to reflect any change in the "climate of opinion" within the legal profession as a whole—at least if that "climate of opinion" is to be judged by the expressions of opinion of so-called Leaders of the Bar. It will be recalled that shortly before its "validation" by the Supreme Court, the unconstitutionality of the Labor Relations Act was publicly proclaimed by fifty-eight of these Leaders acting as a group, and probably by many more acting singly and more privately. Nor were the decisions of the Supreme Court in subsequent cases construing the Act, in which the courts limited their scope of review in favor of greater freedom of action of the administrative agency, exactly in accord with the prevailing opinion of the Leaders of the Bar as shown by such expression of their opinion as the report of the committee of the American Bar Association dealing with the subject.¹⁷ This new attitude on the part of our Supreme Bench does seem, however, to reflect the "climate of opinion" which prevails in that section of the legal profession which *teaches* instead of *practices* law. And that is all to the good in connection with the plea here presented for a new approach to the law of labor organization and for the formulation of an inte-

¹⁵ 305 U. S. 197 (1938).

¹⁶ 309 U. S. 261 (1940).

¹⁷ See *Report of Special Committee on Administrative Law of the American Bar Association*, June, 1940, pp. 215 ff.

grated system of that law. It is primarily to the teachers of law that this plea is addressed. That this portion of the legal profession is increasing in its influence on the growth of the law has been remarked upon as long ago as 1926 by Judge Cardozo in the book on that subject.¹⁸ And the plea here is not for a labor code to be enacted either by Congress or the state legislatures. Nor even for a "Restatement" of that law, at least not as yet. The plea here is for preliminary work by those who teach the law and write on legal topics for the law reviews for preliminary studies on the various aspects of the problem from the general point of view suggested here. Possibly this might be organized in a common effort on the part of a group of such teachers and writers working in an organized way and with a view to a joint publication of the results of their joint efforts.

V

THE LAW OF LABOR ORGANIZATIONS

Since we are not pleading for a code of laws, it is unnecessary to suggest here any program of work for such common effort. But merely by way of indicating the nature of the problems involved we shall call attention here to three main aspects of the problem, which divide the field into three main divisions. But before indicating the divisions themselves, perhaps a word of explanation is in order for the divisions here made, or, rather, for the *inclusions* here made and the comprehensiveness of the program suggested by those inclusions.

As indicated by its historical development, the law of labor organization has been regarded hitherto as a reflection of the struggle between Labor and Capital. In a way, that was a correct point of view; it was certainly correct historically, since labor organizations, as it has been repeatedly pointed out by the courts as well as text writers,

¹⁸ See Judge Cardozo's discussion of the influence of law reviews on the growth of the law, *The Growth of the Law* (New Haven, 1926), pp. 9-15.

arose as part of the struggle between Capital and Labor, more particularly between organized Capital and Labor.¹⁹ But it is a grave error to permit this history of the subject to limit our interest within that narrow compass indicated by that struggle. Labor organizations having become necessary in the course of that struggle, the interests of labor as well as of society as a whole require that those organizations develop in a democratic spirit and in accord with democratic practices. The common effort on the part of the legal profession here suggested should therefore be directed not only towards the development of an *integrated* system of the law of labor organizations, but of a Law of Labor Organization which would ensure labor organizations designed and able to perform their proper functions within the framework of a democratic community. And at this point the plea becomes one addressed not only to the legal profession but also to organized labor. For the history of the past few years has demonstrated that just as there must be a different attitude towards labor legislation on the part of the legal profession which occupies the Bench in particular, so must there be a different attitude towards legislation—which ultimately means the

¹⁹ In the well known case of *American Steel Foundries v. Tri-City C. T. Council*, 257 U. S. 184 (1929), the United States Supreme Court, in an opinion delivered by Chief Justice Taft said: "Labor unions . . . were organized out of the necessities of the situation. A single employee was helpless in dealing with an employer . . . To render this combination at all effective, employees must make their combination extend beyond one shop. It is helpful to have as many as may be in the same trade in the same community united, because, in the competition between employers, they are bound to be affected by the standard of wages of their trade in the neighborhood. . . ." And in the principal case validating the National Labor Relations Act, *National Labor Relations Board v. Jones and Laughlin Steel Corporation*, 301 U. S. 1 (1937), the Supreme Court, in an opinion by Chief Justice Hughes said: "Thus, in its present application, the statute goes no further than to safeguard the right of employees to self-organization and to select representatives of their own choosing for collective bargaining or other mutual protection without restraint or coercion by their employer. That is a fundamental right. Employees have as clear a right to organize and select their representatives for lawful purposes as the respondent has to organize its business and select its own officers and agents."

regulation of labor relations by law—on the part of the labor movement. And the already changed “climate of opinion” on the Bench should result in a corresponding change of the “climate of opinion” within the labor movement. And in this connection a special plea is herewith made to those members of the legal profession who practice labor law to serve as a link between the legal profession and the organized labor movement.

The three divisions referred to may be indicated as (a) the relation of the member of a labor union to his union as an organization, (b) control of the labor union by its members, and (c) the relation of a labor union to the public.

The first division must commence with a consideration of the *nature* of a labor union and its place within our legal system. That is neither a purely theoretical question, nor a purely technical one. It starts technically enough: We have seen that when the article “Trade Union” first appeared in the *American and English Encyclopedia of Law*, the first thing to be noted about that legal entity, as the result of then recent decisions in England and this country, was that it could sue and be sued. But, *how* is it to sue or be sued, under *what* name? That the question may sometimes be of considerable importance in the fortunes of a labor union, is proven by the fact that the decision in one of the most important labor cases under the Sherman Act turned largely on the answer to that question. In the famous *First Coronado Coal* case²⁰ Charles E. Hughes, then several years retired from his position as Associate Justice of the United States Supreme Court, put forward the claim that the United Mine Workers could not be sued at all as an organization, and certainly not under its common name. The Supreme Court, in an elaborate opinion by Chief Justice Taft, rejected both contentions. The rejection of the first was no innovation in our law, since, as we have seen, *responsibility* of labor unions for their acts was settled by the courts by the time the article on “Trade Unions” first

²⁰ 259 U. S. 344 (1922).

made its appearance in the *American and English Encyclopedia of Law*. But the rejection of the second contention certainly introduced a novelty into the law, at least as understood in this country. Many of our state courts have refused to accept it; and the name under which a labor union may sue or be sued is still unsettled in this country.

In itself this may seem a small matter. But this merely proves that what appears on the surface as a mere technicality may, in fact, hide important matters of substance. Aside from the purely fortuitous circumstance that a particular case could have been won by the United Mine Workers because it had been sued by the wrong name, the problem of the name may ultimately defeat a claim as to the justice of which there can be no doubt. By way of illustration: Under the laws of the State of New York—and, we believe, under the laws of most states—a labor union may sue and be sued only in the name of its president or some other official. And under the decisions of courts of the State of New York—and again we believe that that is the prevailing rule—that means that in the eye of the law the officer in question is the real defendant and has to be served personally with process. That presents no difficulty, or at least no serious difficulty, for an employer who wants to obtain an injunction against a labor union as actual practice of the courts amply demonstrates. But it may present an insuperable difficulty to a union member who wants to sue for sick benefits, or to his widow who wants to sue for death benefits. If Jim Kelly, of New York City, member of the Blank Laborers' Union, happened to die while his local union was in trouble with the GHQ of his "International," his widow may have great, indeed, insuperable difficulty in collecting the death benefits to which she is entitled under the union rules, because the GHQ is located in Muncie, Indiana, or somewhere in Arkansas, or even further away on the Pacific Coast. The same difficulty may also be encountered by Jim Kelly's local union if it attempted to prevent an unjust revocation of its charter by GHQ. Indeed, the problem is far from negligible. And to arrive at a correct solution, it is neces-

sary to enlighten not only the courts but also labor union officials, who, remembering the Coronado case, may still think that it is somehow against the interest of labor unions that a modern and intelligent rule should be adopted by the courts.

This takes us a step back in the history of the labor movement, as well as a step forward to its most recent history. The reason for the peculiar rule with respect to the name whereby a labor union may be sued lies in the fact that since labor unions had no *place of their own* within our legal system, they were assimilated to that miscellaneous body of "voluntary unincorporated associations" which consisted, and still largely consists, of sewing circles, lunch and dining clubs, and similar organizations. The point to remember is that labor unions were, in their inception, strictly private organizations. They were also strictly voluntary. No one had to belong to a labor union who did not want to. As a result they were practically outside of the pale of the law, in the sense that the law refused to take notice of them. As we have seen, that did not prevent the courts from taking notice, indeed, undue notice, of their activities when they crossed the path of Capital. But as long as they kept to themselves the law preferred to leave them to themselves and to their own devices. This was not only in consonance with the innate conservatism of the legal profession, it was also a cheap way of catering to organized labor, *i.e.*, to its officialdom, who naturally preferred to be let alone. Not only because of the general fear of the courts already referred to, but also because Messrs. X, Y, and Z who constituted the GHQ's of the various "Internationals" preferred that they should be free to deal with Mrs. Kelly's death benefit and with the charter of Mr. Kelly's local as they pleased without any "outside interference," exactly as the employers resented the "outside interference" of Messrs. X, Y, and Z in their relations with their employees.

This "hands off" policy of the courts with respect to the "internal affairs" of labor unions had some unforeseen results. Results not only unforeseen but extremely unfor-

fortunate for the labor movement, as some recent court cases sufficiently demonstrate. It is sufficient to call attention in this connection to a few of the notorious criminal prosecutions in New York courts in recent years, such as the Sam Kaplan and George Scalise trials. It is safe to say that had the courts realized that labor unions were no longer either private or voluntary organizations—that workers *have* to be members of labor unions if they want to have jobs and that the size and activities of labor unions make them of great public importance—the scandalous conditions which led to these criminal prosecutions might have been avoided. But it is not enough that the courts merely reverse their “hands off” policy. As certain recent cases which have gone through the courts of the State of New York sufficiently demonstrate, interference by the courts may be the wrong way, and therefore even worse than their previous “hands off” policy.²¹ What is required is not mere *cognizance* by the courts of the internal affairs of labor unions, but a realization that labor unions are great public institutions and that in a democratic country such institutions must be democratically managed if they are to be a benefit to the community rather than the reverse. The courts must therefore be open to the members and subdivisions of these vast and important organizations for the protection of democratic rights and the maintenance of democratic practices. And this requires the development by the legal profession in coöperation with persons active in the labor movement of a set of rules which would insure democracy within the labor organizations without giving the courts a handle for interference at the behest of interests inimical to labor.

Needless to say that important as the problems heretofore indicated are, the most important aspect of the development of the law of labor organization is still the relation of

²¹ In the cases of *Fay v. Robinson* and *Foley v. Robinson*, (251 App. Div. 803; 277 N. Y. 610; 14 N. E. (2d) 187 (1938),) the courts of the State of New York reversed their former “hands off” policy by actually issuing a decree to enforce an order of a “GHQ’s” official against a labor union and its members in one of the most outrageous cases of high-handed action of labor union officialdom on record.

the labor organization to the public, comprising that vast complex of problems which is involved in the question of *what a union may do* in order to achieve its objectives. But while that is the branch of the law which has hitherto engaged the exclusive attention of both the legal profession and the labor movement, there are still certain of its aspects which have been neglected. And, what is more, some of those things which we thought had been solved have actually not been solved because of the negative character of our legislation on the subject. This is again best illustrated by a recent case in the New York courts. New York has an anti-injunction statute modeled on the Norris-LaGuardia Act. Recently, an organization known as "Opera on Tour"—whose purpose is, or at least is claimed to be, to present opera in communities which cannot afford to maintain opera houses of their own, by adopting various cost-saving devices, including the substitution of recorded music for the usual orchestra—applied to the New York courts for an injunction against the Stagehands' Union which had called a strike of the stage employees in order to force the discarding of the recorded music and the employment of live musicians. It was claimed on behalf of the opera organization that if it were to employ an orchestra of live musicians it would have to go out of business since the cost of an orchestra was prohibitive in view of the communities which it was organized to serve. The injunction was granted by the lower court, but the decision was reversed by the intermediate court of appeal, and the decision of the intermediate court of appeal was, in its turn, reversed by the Court of Appeals. Both appellate courts divided on the subject. In the Court of Appeals, which consists of seven judges, two of the judges, including the Chief Judge, dissented. The problem immediately before the Court was whether the case presented a "labor dispute" within the meaning of the anti-injunction statute. There really could be no doubt of the fact that the dispute in question was within the language of the statute;²² but

²² See Louis B. Boudin, "Opera on Tour: A Danger Signal," *Lawyers Guild Review*, Vol. 1, no. 5, pp. 7 ff., (1941).

the majority, after discussing the public importance of the question involved and the consequences which would follow from the position of the minority—namely, that the labor unions could stop the introduction of all labor saving machinery—concluded that such a purpose could not be a proper “labor objective” and ruled therefore that the attempt to accomplish the purpose was not properly a “labor dispute.”

The moral of this case is twofold: First, that no set of words, no matter how broad or how emphatic, can stop the courts from doing something which they think they ought to do and, therefore, that mere prohibitory legislation is futile even from the point of view of narrow trade-union policy, since under our constitutional system there is no way of enforcing prohibitions upon the courts. That is not the only moral to be drawn from the case. Even more important is the fact that this case conclusively demonstrates that there is danger, both to the labor movement and the public at large in this *negative* or *prohibitive* form of legislation. *A positive approach to the entire subject is absolutely imperative.*

But, as already pointed out, such an approach requires a different “climate of opinion” both within the legal profession and within the organized labor movement. A climate of opinion is required which would not only do away with the antagonism between the courts and the legislatures, but the even greater antagonism between the organized labor movement and what might be called organized law generally; such climate of opinion must have as its basis a realization that there is a common task to be performed and a willingness to join in a common effort to work at this task with a view to developing a system of labor law designed to insure and protect the growth of a labor movement within democratic society as an integral part of it.